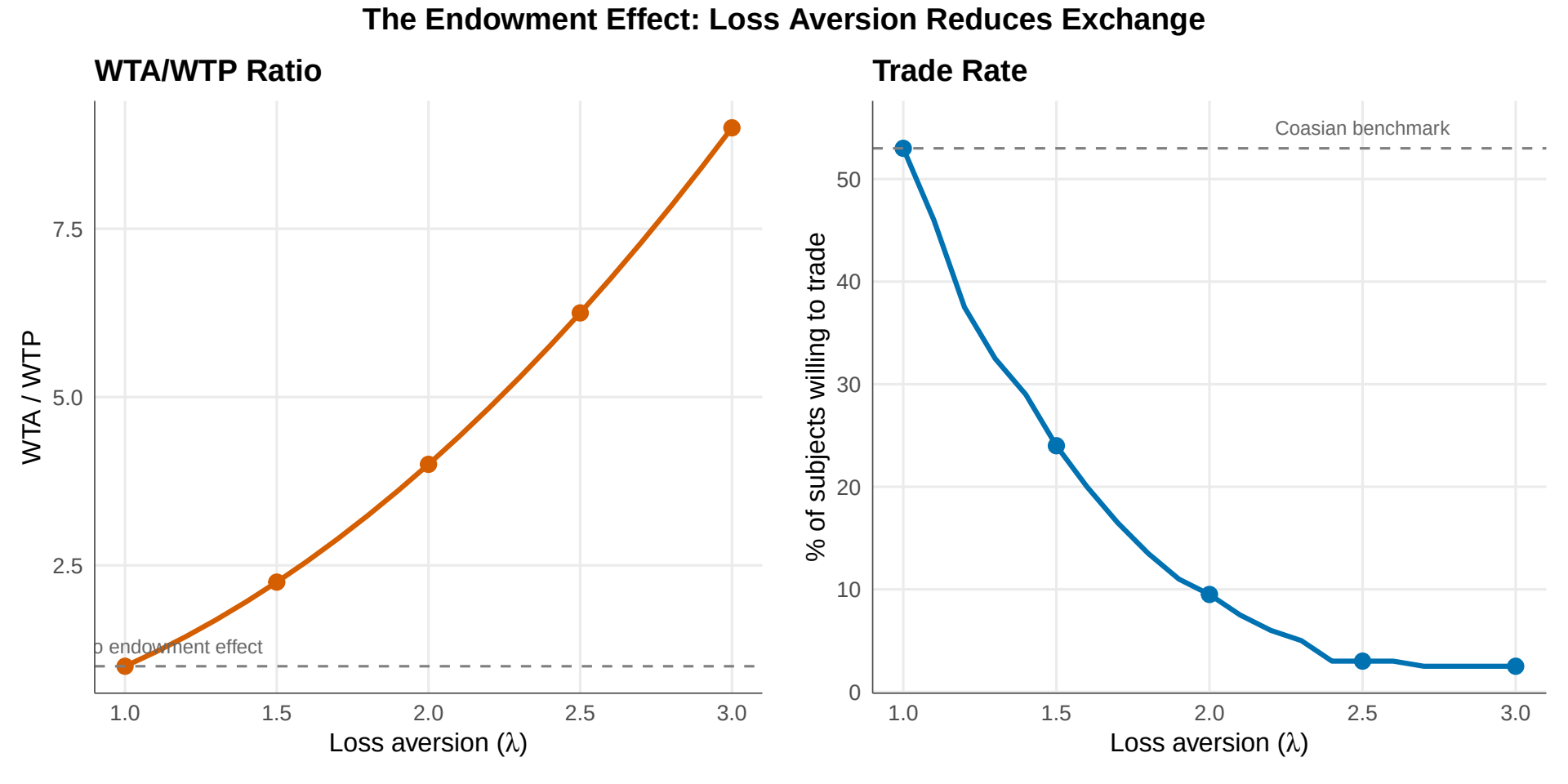
The Endowment Effect: Loss Aversion Reduces Exchange
WTA/WTP Ratio
WTA / WTP
7.5
5.0
2.5
o endowment effect
1.0
1.5
2.0
2.5
3.0
Loss aversion (λ)
Trade Rate
% of subjects willing to trade
Coasian benchmark
50
40
30
20
10
0
1.0
1.5
2.0
2.5
3.0
Loss aversion (λ)